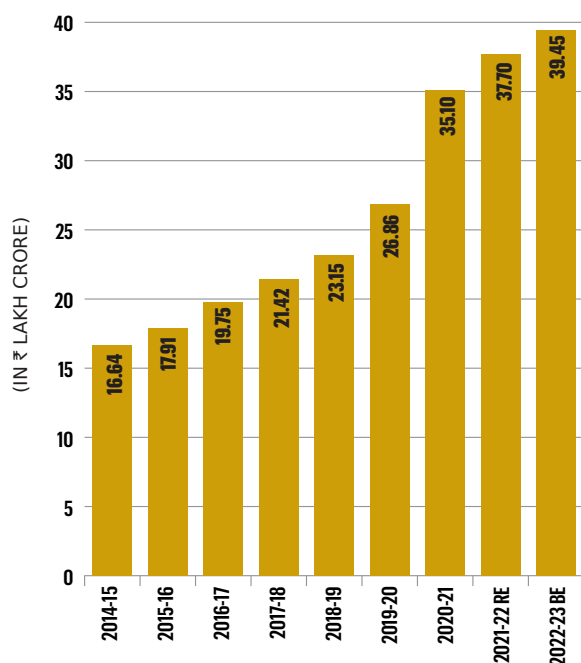


BULKING UP

The size of India's Union Budget has increased 137 per cent since the NDA came to office in 2014



RE: REVISED ESTIMATES; BE: BUDGET ESTIMATES; ALL OTHER FIGURES ARE ACTUALS; SOURCE UNION BUDGETS

COURSE CORRECTION

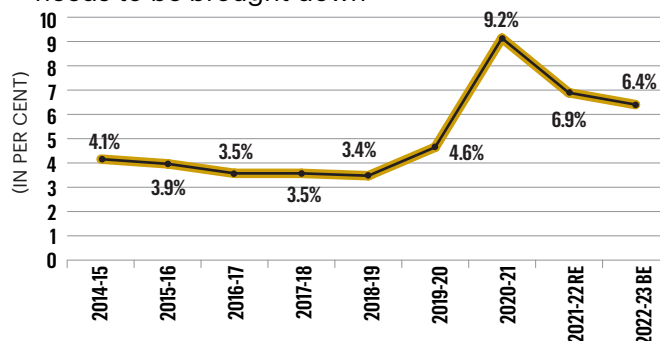
Share of agri, forestry and fishing in GVA has fallen

(Figures are in per cent)	2014-15	2022-23
Services	52.35	54.96
Manufacturing	17.34	17.28
Agriculture, forestry and fishing	16.53	15.03
Construction	8.60	8.07
Utility services*	2.20	2.34
Mining and quarrying	2.97	2.31

*ELECTRICITY, GAS, WATER SUPPLY, ETC.; SOURCE MOSPI, FIRST ADVANCED ESTIMATES OF NATIONAL INCOME 2022-23, CMIE

PLUG THE DEFICIT

The fiscal deficit is still uncomfortably high and needs to be brought down



FIGURES ARE FISCAL DEFICIT AS PERCENTAGE OF GDP
RE: REVISED ESTIMATES; BE: BUDGET ESTIMATES; ALL OTHER FIGURES ARE ACTUALS; SOURCE UNION BUDGETS

is expected to moderate. India's National Statistical Office (NSO) predicted 7 per cent GDP growth in FY23, while other agencies have predicted anything between 6.5 and 7 per cent. And while the NSO has

pegged FY24 growth at 6 per cent, others have largely kept it around 5 and 6 per cent. Nomura's estimate, for instance, is 5.1 per cent.

The global numbers, expectedly, are uncomfortable. The World Bank

expects global GDP growth to slow to 1.7 per cent in 2023—the lowest since the 2008 economic crisis—and the developed economies to grow just 0.5 per cent in 2023 (compared to 2.5 per cent in 2022). And the WTO expects global trade to grow just 1 per cent in 2023, compared to 3.5 per cent in 2022.

What steps can the FM take in Budget 2023-24 to support growth and spur demand in such a situation? "In the backdrop of a global growth slowdown and geopolitical uncertainty, ICRA anticipates that the FY24 Union Budget will focus on supporting domestic economic growth, with a continued impetus towards infrastructure and capac-

WHILE INDIA'S CURRENT ECONOMIC GROWTH LOOKS GOOD IN THE FACE OF HEADWINDS, THERE ARE SIGNS OF LONG-TERM GROWTH SLOWING